

Deloitte AI Report Scandal

When AI usage failure becomes
costly

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Organization: Deloitte Australia

Industry: Management Consulting and Professional Services.

What Happened? ?

Deloitte.

- In 2025, Deloitte produced a 237-page report for the Australian government regarding a welfare framework.
- The report contained significant errors and "hallucinations," including fabricated legal citations and academic footnotes.
- These inaccuracies were attributed to the undisclosed use of Generative AI without sufficient human oversight or verification.

Impact: Deloitte Australia agreed to refund a portion of the \$290,000 USD payment due to these AI-generated errors.

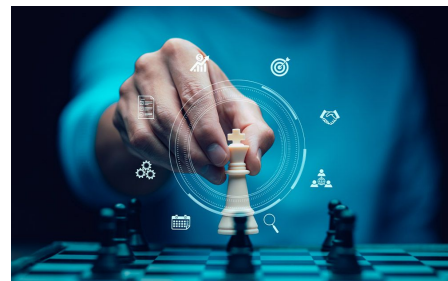
Governance & Culture

- **Leadership Oversight Failure:** Although internal AI guidelines existed, senior management and the Board failed to physically enforce or monitor these policies in a client-facing capacity.
- **Accountability Gap:** Responsibility for factual accuracy was lost between AI tools and the human consultants intended to verify them.
- **Risk Culture Deficit:** The incident highlighted a "human intelligence problem," where the pressure for delivery efficiency caused staff to bypass professional standards of rigorous verification.
 - Give up quality for speed
- **Ineffective Governance:** Existing structures failed to enable early identification
 - Errors were caught by external parties after the report was already published on public record



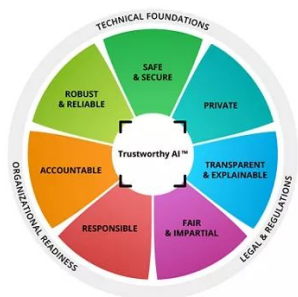
OBJECTIVE + STRATEGY

- **Deloitte's global AI strategy → Implemented before event**
 - \$3 billion USD investment to lead in AI transformation
 - AI should be used only as a tool to enhance human capability
 - Deloitte created the **Trustworthy AI™** framework
 - 6 dimensions: Fair/impartial, robust/reliable, transparent/explainable, safe/secure, accountable/responsible, and respectful of privacy.
- **Risk Appetite:** Prioritizing the speed through AI without mandatory verification is outside of risk appetite → Reputation Damage
 - Risk of AI hallucinations from the event was
 - Misunderstood by the project team.
 - Poorly managed by senior leadership.
 - Representation of a failure in internal control systems.



Risk Assessment

Risk Statement: The risk of reputational damage and financial loss due to factual inaccuracies and "hallucinations" generated by unverified Artificial Intelligence in client report that was published to the public.



Existing Controls

Deloitte Trustworthy AI™

Framework: This existed before the scandal but was ineffective in this instance because it lacked physical enforcement and real-time monitoring at the project level.



Key Risk Indicators (KRI)

1. Percentage of high-stake reports using AI without validation or review- **missing**
2. Frequency of internal QA audits for AI usage, specially for references - **missing**

Risk Score: **High**



Risk Rating: **HIGH**

Likelihood (Likely) x Impact (High)

Root Cause: Failure of consultant to validate report & senior management to physically monitor and enforce AI usage policies.

Consequence: Public scandal, loss of government trust, and a partial refund of the \$290,000 USD contract.

Review & Revision



1. **Detection:** Detected externally by University of Sydney researcher Dr. Chris Rudge, who alerted the media after finding his colleagues cited for non-existent books.
2. **Operational Response:**
 - a. Issued an Apology
 - b. Re-submitted the report with 200+ changes
 - c. Refunded a portion of the consulting fee
3. **Policy Adjustments:**
 - a. Explicit disclosure of AI use in appendix
 - b. Zero-tolerance policy for “shadow AI”
4. **Verification Control Improvements:**
 - a. Human-in-the-loop reinforcements → consultants must verify every AI citation
 - b. Audit all current work → review and verify every single citation in other high-stake reports
5. **Strategic Adjustments:**
 - a. Departure of the responsible partner for the report
 - b. End-to-end AI integration

Information, Communication & Reporting



- **Internal Escalation & Decision Making → Failed**
 - Consultant used unauthorized AI tools without informing senior leadership
 - No internal reviewer flagged these errors before delivery
 - Escalated to the Department of Finance
 - Initiated an investigation into whether Deloitte breached the government's supplier code of conduct.
- **External Communication + Transparency → Failed**
 - Deloitte was initially defensive and failing to immediately disclose that AI caused the errors.
 - They originally told the department the issues were limited to "citations and footnotes" without mentioning the AI.
 - They also mentioned the AI errors did not change the final recommendations in the report.

Information, Communication & Reporting

- **Final Results**

- Formal gesture of accountability
 - Partial refund
 - The partner responsible for the report will be exiting the company
- Correction + refund finalized on 10/2025 (Error report first publish is 07/2025)



Risk Response: Recommendation #1



- **COSO Component Addressed:** Review and Revision (Principle 15: Assesses Substantial Change).
- **Risk Reduced:** Undetected & unpredicted AI "hallucinations" and factual inaccuracies in high-stakes public deliverables → Potential reputational damage
- **Expected Outcome:**
 - a. Engagement of an independent third-party auditor to perform unbiased "spot checks" on a randomized sample of AI-assisted reports before they are sent to clients.
 - b. Improves risk culture → Prioritize accuracy
 - c. Third-party certification to provide clients with objective proof → Improve identification gap
- **Measurable KRI**
 - a. Inaccuracy Rate → % of audited reports with at least one error
 - b. Correction Lag → if more than 5% of sampled reports fail the audit, it triggers a "stop-work" order on the AI tool used
- **Escalation Mechanism**
 - a. Report failing the third-party validation must be immediately escalated to the External AI Ethics & Compliance Board

Risk Response: Recommendation #2

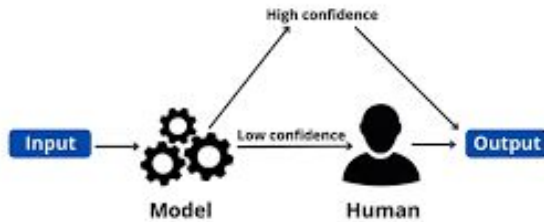


- **COSO Component Addressed:** Governance and Culture (Principle 2: Operating Structures).
- **Risk Reduced:** Implicit acceptance of risky AI behaviors due to internal project delivery pressures. → Risk culture of transparency
- **Expected Outcome:**
 - a. Formation of an advisory council comprising external academics and ethics experts to review the firm's AI development and deployment strategies.
 - b. Requirement for this board to review any project where AI is used for "core analytical tasks" in government or highly regulated sectors. → improves risk identification gaps
- **Measurable KRI**
 - a. Ethics override rate → # of projects flagged red by the board that resulted in redesign or cancellation
 - b. Board Review Velocity → % of high-stake Ai projects that went through formal board review

- **Escalation Mechanism**

- a. External Board identifies a "Critical Ethics Violation" triggers an Immediate Executive Escalation → Project Paused → Await response from the CEO or Chief Risk Officer within 48 hours

Risk Response: Recommendation #3

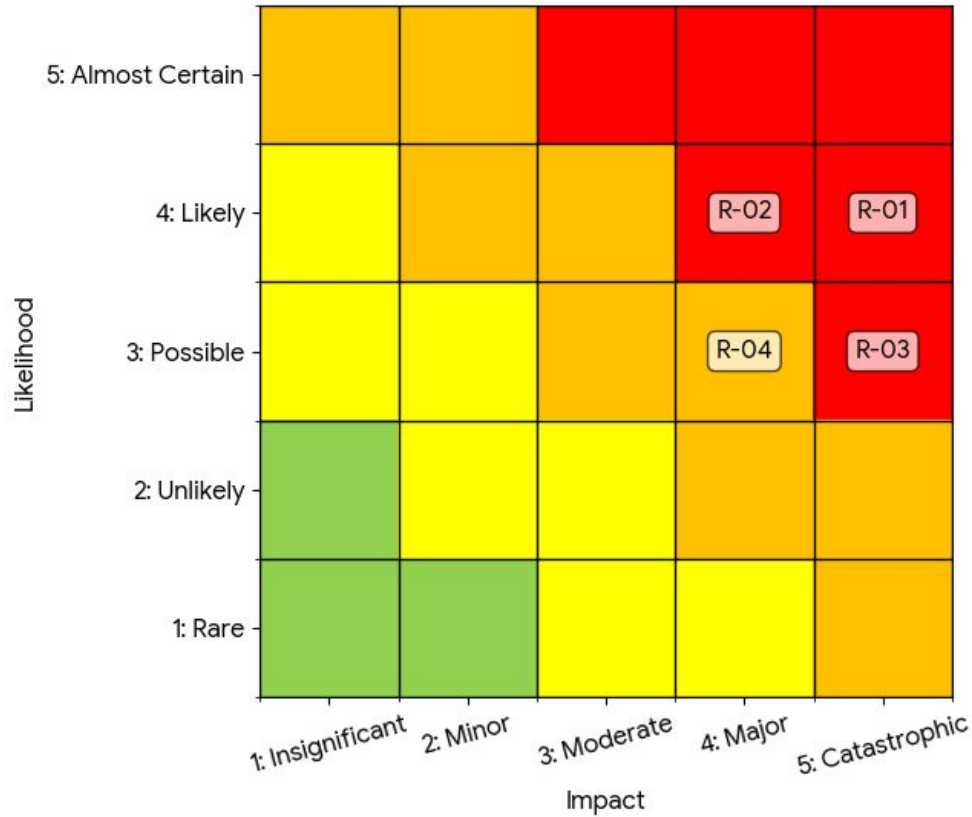


Implementation of a "Human-in-the-Loop" (HITL) Control Redesign

- **COSO Component Addressed:** Performance (Principle 13: Responds to Risk).
- **Risk Reduced:** Reputational and contractual risk stemming from AI "hallucinations" and factual inaccuracies.
- **Expected Outcome:**
 - a. Mandatory multi-level human verification for every AI-generated citation/claim before final publication.
 - b. Development of a "Verification Audit Trail" that documents the specific human reviewer responsible for each section of a report with signature. → Improves risk identification gap
- **Measurable KRI**
 - a. AI error capture rate → % of AI error caught by human
 - b. AI verification time → Average time consultant spend verifying AI generated information
- **Escalation Mechanism**
 - a. Implement a "Three-Strike Integrity Check": An individual reviewer signs off on a report that is later found to contain an unverified error during a spot check → verification or AI usage privileges suspended.

Risk ID	Category	Risk Statement (Factual Basis)	Risk Rating	Control Failure	Mitigation/Remediation
R-01	Ops	AI Hallucinations: Delivery of fabricated legal/academic citations.	High	Lack of Human-in-the-Loop (HITL) verification protocols.	Mandatory Retrieval-Augmented Generation (RAG) & manual QA.
R-02	Strategy	Misalignment: Using GenAI for high-stakes work vs. limited "code" approval.	High	Failure to physically monitor AI policy compliance at project levels.	Align Risk Appetite with specific, pre-approved AI use cases.
R-03	Reput.	Transparency: Undisclosed AI usage in \$290k USD govt. contract.	High	Absence of a Mandatory Disclosure policy for machine-generated work.	Implement an AI Disclosure Clause in all client engagement letters.
R-04	Gov.	Accountability Gap: No single owner for report accuracy/truthfulness.	High	Breakdown in Internal Escalation and professional skepticism.	Establish an Independent AI Ethics Board & Partner-level sign-off.

Deloitte AI Scandal Risk Heat Map



Citations

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Thank You!